‘dumping’ of Chinese goods in India and thus spoiling the domestic market of India. India since September 2008 has extended a ban on milk and milk products from China due to high amount of melamine content. Further, China has also tried to block the US $2.9 billion development fund for India out of which $60 million development project was meant for Arunachal Pradesh from the Asian Development Bank (ADB) in March 2009. China insisted that Arunachal Pradesh must be removed from the development project plan. Earlier China also had attempted to block a waiver by the Nuclear Suppliers Group (NSG) which cleared global nuclear trade for India.

China’s closeness to Pakistan is a matter of concern for India. China has given assistance both in the military and the nuclear sector which are disturbing factors in the Sino-Indian relations. Sino-Paksitani collaboration in the building up of the nuclear reactor (Khusab Nuclear Reactor) has made Indian allegations of clandestine dealings between China and Pakistan proved beyond doubt. Further, Chinese design of ‘Strings of Pearls’ which is a strategy to encircle India by building or developing relations with States around India and isolate India in South Asia and limit her extension of activities beyond this region and also check India’s activities in the South China Sea, Indian Ocean and Arabian Sea. China also is aware that it has to limit growing India’s influence in South-east Asia, Central Asia and Persian Gulf to ensure China’s energy security supplies. China wants to achieve this by establishing economic and military nodes in various countries by using diplomacy and economic packages. China has targeted countries like Myanmar, Bangladesh, Nepal, Sri Lanka, Maldives, Mauritius and Seychelles, Thailand and Cambodia and above all Pakistan. In 2005, Chinese Premier Prime Minister Wen Jiabao inaugurated the deep-seaport at Gwadar on the coast of Arabian Sea which obviously was constructed with Chinese assistance. In Sri Lanka, China is assisting in construction of Hambantota port in southern Sri Lanka. Strategic investments are being made by China in Hainan Island in the South China Sea, the Straits of Malacca, port developments in Chittagong in Bangladesh, Sittwe, Coco, Hianggyi, Khaukphyu, Mergui and Zadetkyi Kyun in Myanmar, Laem and Chabang in Thailand and